01 Selection and Research

1.1 Regulated Entity and Jurisdictions

Named Entity: Coinbase Global, Inc.

Coinbase is the world's largest publicly listed cryptocurrency exchange (NASDAQ: COIN). As of May 2026, it operates with differentiated regulatory frameworks:

Jurisdiction	Legal Entity	License Status	Primary Regulator(s)
United States	Coinbase, Inc.	MSB + Trust Company Charter (2026)	FinCEN, OCC
Singapore	Coinbase Singapore Pte. Ltd.	Major Payment Institution (MPI)	MAS
Europe	Coinbase Germany GmbH	CASP (Crypto Asset Service Provider)	BaFin, FCA

Coinbase faces direct regulatory conflict between US laissez-faire stablecoin policy and Singapore's strict consumer protection regime. This creates a real RegTech problem: how to comply with both simultaneously.

1.2 Specific Domain:
FATF Travel Rule Compliance + AML/KYC

What is Travel Rule?

Travel Rule: FATF Recommendation R.16 requires Virtual Asset Service Providers (VASPs) to transmit originator and beneficiary information for transactions above specified thresholds. It's the crypto equivalent of traditional banking KYC requirements.

Why This Domain?

The Travel Rule reveals the core regulatory divergence:

- US Threshold: USD 3,000 (permissive; fewer reportable transactions)
- Singapore Threshold: S$1,500 (~USD 1,000; FATF-strict; 3x more reportable transactions)

This single parameter forces Coinbase to choose: optimize for US transaction velocity or Singapore compliance. A RegTech tool must either block jurisdictional arbitrage or enable regulatory arbitrage—a political choice.

1.3 Regulatory Frameworks Comparison

Dimension	US	Singapore	Political Choice
Travel Rule Threshold	USD 3,000	S$1,500	US: permissive; SG: strict
Unhosted Wallet Policy	Permitted (flagged)	Enhanced due diligence required	US: libertarian; SG: paternalistic
Asset Segregation	Guided (flexible)	90% cold storage mandatory	US: flexible; SG: rigid
Enforcement Philosophy	Safe harbor	Strict liability	US: light-handed; SG: deterrent
Stablecoin Approval	Permissive	MAS-approved list only	US: market-driven; SG: gatekeeper

1.4 Key Evidence of Political Divergence

Evidence 1: Threshold Design

The US set a USD 3,000 Travel Rule threshold (3x FATF's recommended USD 1,000), while Singapore precisely followed FATF guidance at S$1,500. This reveals competing priorities: the US prioritizes transaction velocity for USD stablecoin dominance, while Singapore prioritizes crime detection through granular monitoring.

Evidence 2: Business Impact

A USD 1,500 transfer from US to Singapore is below the US threshold (no reporting required) but above the Singapore threshold (Travel Rule data required). Coinbase cannot simultaneously comply with both jurisdictions. This forces a choice: accept friction for all users, or violate one jurisdiction's law.

References

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